



Post

For Global Development, Countries Need to Get Skilled Before They Get Old

By Nicholas Eberstadt | Patrick Norrick

AEIdeas

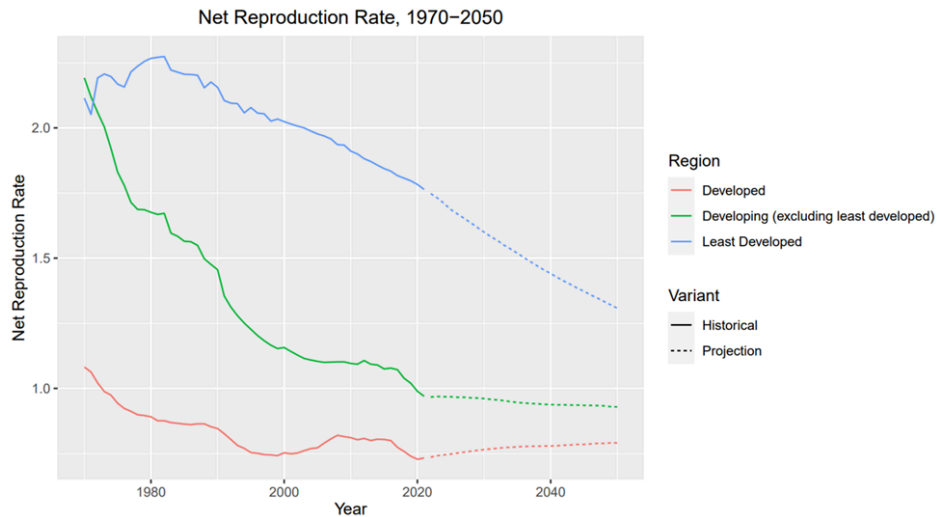
February 21, 2024

For the demographically inclined, two factors play an especially important role in national economic performance. The first is the size of a country's labor force. The second is the "quality" (knowledge and skills) of those workers. Taken together, these give us what economists call "[effective labor](#)"—the collective potential of a country's workers devoted to production.

With unprecedented declines in fertility all around the world, one of the two factors bounding the "effective labor force" of the future is increasingly constrained. Given prolonged sub-replacement fertility, total manpower in the years ahead stands to decline, absent offsetting immigration.

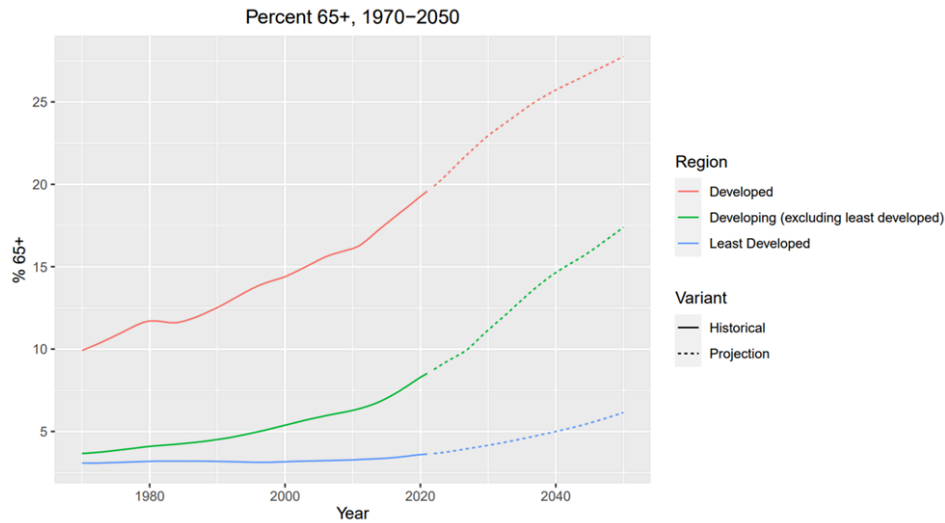
In developed countries, fertility has been far below replacement for decades. But birth rates have plunged in low income areas as well. In most of the UN's "developing" regions, in fact, sub-replacement fertility is now the norm.

Only the “least developed countries” remain well above replacement—but they comprise less than a sixth of the world’s total population.



Sub-replacement fertility drives population aging. Today over a fifth of the inhabitants of developed regions are senior citizens (65+)—soon to be one in four, en route perhaps to one in three.

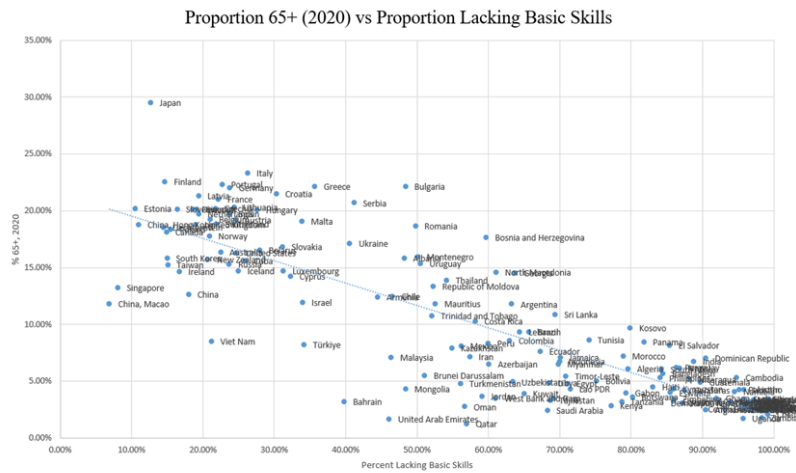
But graying is about to hit low income countries, too—big time. Subtract “least developed countries” from the “developing regions”, and we are left with over five and a half billion people, two thirds of the world’s population. That huge low income grouping stands to be almost as gray a generation hence as the rich countries were on the eve of the Covid pandemic.



Shrinking, aging societies need not face economic stagnation, much less declining living standards. But countries with faltering “effective labor” trends will find it much harder to avoid mounting economic difficulties.

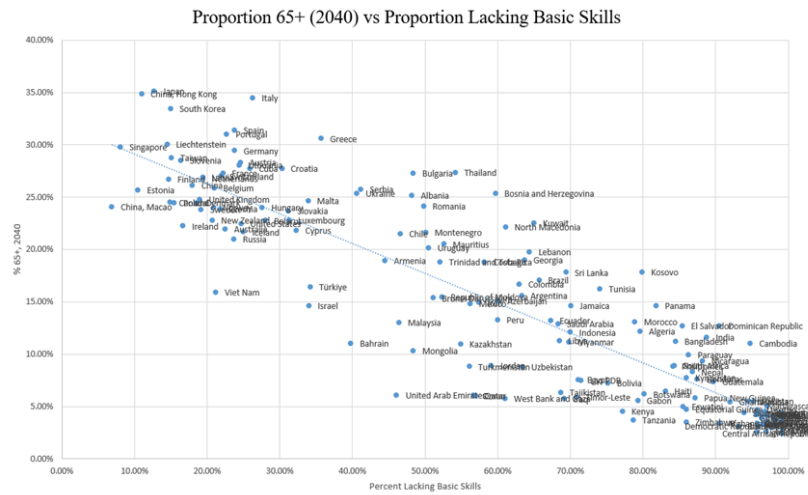
To date, little has been written on the importance to countries of getting *skilled* before getting old. But a [new study](#) is casting a spotlight on this issue. Stanford economist (sometime AEI scholar) Eric Hanushek, along with co-authors Sarah Gust and Ludger Woessmann, use internationally standardized student achievement scores from 158 countries to assess the proportion of children lacking “[basic skills](#)”. Their findings highlight coming economic vulnerabilities in an aging world.

The chart below shows a simple scatterplot relating a country’s level of basic skill for students to its proportion of the population over 65 in 2020.



Japan was the world's oldest economy in 2020, with nearly 30 percent of its population over the age of 65. As [pointed out](#) by AEI colleague and University of Pennsylvania economist Jesús Fernández-Villaverde, this has strong implications for standard measurements and theories of economic growth. But some of this documented demographic drag on Japan's traditionally measured per-capita performance may have been partially mitigated by Japan's relatively high level of skills of basic skills, with fewer than 13 percent of Japanese children failing to meet the threshold.

Using [projections from the United Nations](#), we can create the same scatterplot for the year 2040. Here we see a rather different story. Japan is no longer such a conspicuous outlier. By 2040 senior citizens will account for a quarter or more of total population in many countries. But not all countries will be aging gracefully—and the ones that look to be really in trouble pair low skill levels with aged populations.



Consider two countries with similar current skill levels: Greece and Israel—both OECD members, both considered rich countries. Somewhere around 35 percent of children in each fail to achieve basic skills. But in 2040, Israel is projected to have around 15 percent of its population over the age of 65, while Greece is expected to have over 30 percent. Economic prospects, and government policy options, are likely to differ sharply for them.

Now consider two countries with similar 2040 aging profiles: Estonia and Thailand. In both societies, over one in four will be seniors in 2040. But just a tenth of young Estonians lack basic skills today—whereas over half of young Thais fail that standard. Even if Thailand successfully enacted heroic educational reforms *this afternoon*, the children reaping the full benefits of the change would not enter the workforce until *at least* 2040. And today's 15-year-olds, most of whom reportedly lack basic skills, will find themselves squarely in the middle of the “working age” population in 2040, implicitly tasked with supporting the projected 27 percent of the population who will be seniors.

In Eastern Europe, Latin America, the Middle East, a whole contingent of countries faces a gray future with largely unskilled manpower. In South Asia, too: the Sri Lanka of 2040 may be more aged than America today, but over two thirds of its future workforce (today's youth) lack even basic skills.

A gray, low-skill future does not look attractive. But can the at-risk countries avoid it? And if so, how?

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